

Sector Research Report

NIFTY METAL

MBA Capstone Project 2 · Course: Capital Market Intelligence

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Executive Summary

Integrated metals ecosystem

The Nifty Metal Index represents India's steel, aluminum, and mining companies supplying raw materials to key industrial sectors.

Structural demand growth

Metal demand is driven by infrastructure development, urbanization, construction activity, and manufacturing expansion.

Global commodity influence

Metal companies are highly sensitive to global commodity price cycles, particularly iron ore, coal, aluminum, and copper.

Infrastructure-led demand growth

Government investment in infrastructure and construction is increasing steel and metal consumption across sectors.

Cyclical sector valuation

Metal sector valuations fluctuate with commodity price movements and global economic conditions.

Investment outlook

The long-term outlook remains positive due to infrastructure development and industrial expansion.



Nifty Metal: Overview & Rationale for Selection

Overview

- Tracks major metal and mining companies listed on NSE
- Includes steel producers, aluminum manufacturers, and mining companies
- Uses free-float market capitalization methodology
- Index is rebalanced semi-annually

Why Selected

- Metal demand is closely linked to economic growth
- Infrastructure spending increases steel consumption
- Government policies support domestic metal production
- Provides exposure to India's industrial development

Industry Size & Market Structure

Industry Size

India's metal industry is valued at over **\$300 billion**.

Global Position

India is the **second largest steel producer globally**.

Demand Growth

Steel demand is expected to grow at **6–7% CAGR** over the next decade.

Key Industry Players

Tata Steel

JSW Steel

Hindalco Industries

Vedanta

Coal India

NMDC

❑ Government infrastructure investment continues to support long-term demand for metals.

Index Composition & Weightage

The Nifty Metal Index consists of major metal companies representing steel, aluminum, and mining industries in India.

Major Constituents

Tata Steel

JSW Steel

Hindalco Industries

Vedanta

Coal India

NMDC

Jindal Steel &
Power

APL Apollo Tubes

❏ Steel companies dominate the index due to higher demand from construction and infrastructure sectors.

India Metal Value Chain

The metal value chain plays a critical role in supporting industrial development.



Mining

Extraction of iron ore, coal, and bauxite used in metal production.



Raw Material Processing

Refining minerals into usable raw materials.



Metal Production

Manufacturing steel, aluminium, and other industrial metals.



Fabrication

Production of metal sheets, pipes, and industrial components.



End Industries

Construction, infrastructure, automobiles, and manufacturing.

Sub-Sector 1: Steel

Business Model

Steel companies produce flat and long steel products used in construction, infrastructure, and automobile industries.

Fundamentals

India's steel demand continues to grow due to infrastructure spending and industrial expansion.

Key Risks

- Iron ore price volatility
- Global steel price fluctuations
- Competition from imported steel

Verdict

Steel companies benefit strongly from infrastructure development and economic growth.

Sub-Sector 2: Aluminium

Business Model

Aluminium companies produce lightweight metals used in automobiles, packaging, and renewable energy infrastructure.

Fundamentals

Demand for aluminium is increasing due to electric vehicles and renewable energy growth.

Key Risks

- Energy cost volatility
- Commodity price fluctuations
- Environmental regulations

Verdict

Aluminium demand is expected to grow due to industrial development and clean energy adoption.

Sub-Sector 3: Mining

Business Model

Mining companies extract iron ore and coal used in steel production.

Fundamentals

Coal India dominates domestic coal production. NMDC supplies iron ore to steel companies.

Key Risks

- Government regulations
- Environmental clearances
- Commodity price cycles

Verdict

Mining companies provide essential raw materials for the metal industry.

India's Metal Industry Landscape

120M

Tonnes of Steel

India produces more than **120 million tonnes of steel annually**.

160M

Tonnes by 2030

Steel demand is expected to reach **160 million tonnes by 2030**.

Aluminium Leadership

India is among the largest aluminium producers globally.

Primary Demand Driver

Infrastructure development remains the primary driver of metal demand.

Policy Landscape & Regulatory Catalysts



National Steel Policy

Targets **300 MTPA steel capacity by 2030**.



Production Linked Incentive Scheme

Promotes domestic production of specialty steel.



Mining Reforms

Improve mineral availability and support metal production.



Infrastructure Investment

Government spending on infrastructure boosts steel demand.

Macro-Economic Linkages

Metal sector performance is influenced by several macroeconomic factors.

Commodity Prices

Metal prices depend on global supply and demand.

GDP Growth

Higher economic growth increases metal consumption.

Exchange Rates

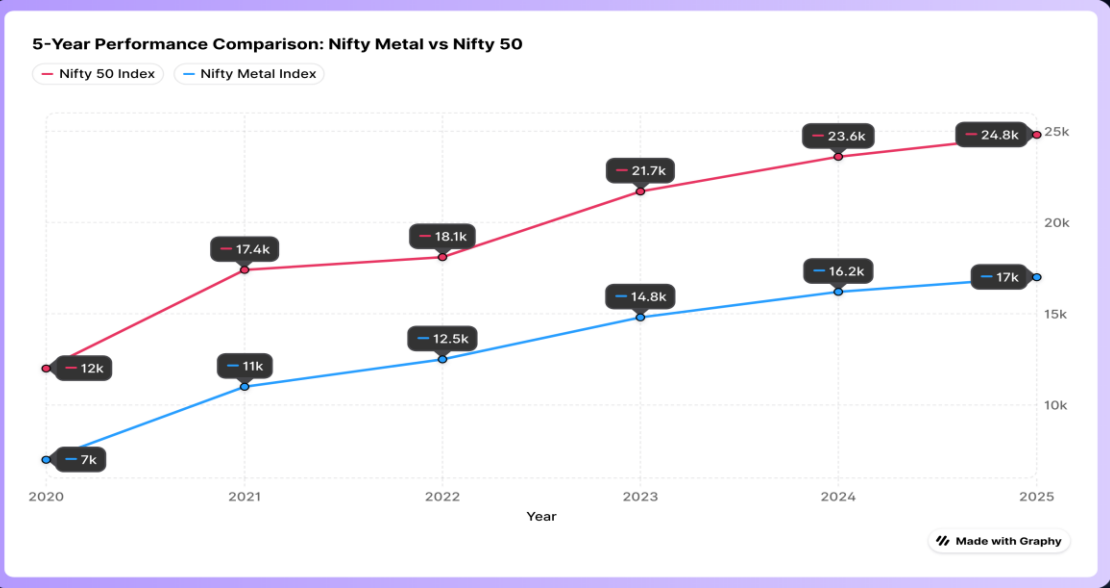
Currency movements affect exports and raw material costs.

Infrastructure Spending

Large government projects increase steel demand.

Historical Performance – Nifty Metal vs Benchmark

Comparative Returns



Nifty Metal has outperformed the broader market during commodity upcycles, driven by rising steel, aluminium, and mining company earnings.

Infrastructure spending and industrial demand have supported strong sector growth in recent years.

The sector remains highly cyclical, influenced by global metal prices, commodity demand, and economic growth.

Performance Metrics Table

Metric	Nifty Metal	Nifty 50
1-Year Return	~18%	~12%
3-Year CAGR	~17%	~13%
5-Year CAGR	~15%	~11%
Beta	~1.20	1.00

The **Nifty Metal index** has demonstrated strong cyclical growth over the past five years, supported by infrastructure demand, industrial expansion, and rising global commodity prices.

However, **the sector remains more volatile than the broader market** due to its sensitivity to global economic conditions and metal price cycles.

Sector Valuation Dashboard

~13X

P/E Ratio

~0.8x

Price/Sales Ratio

~7%

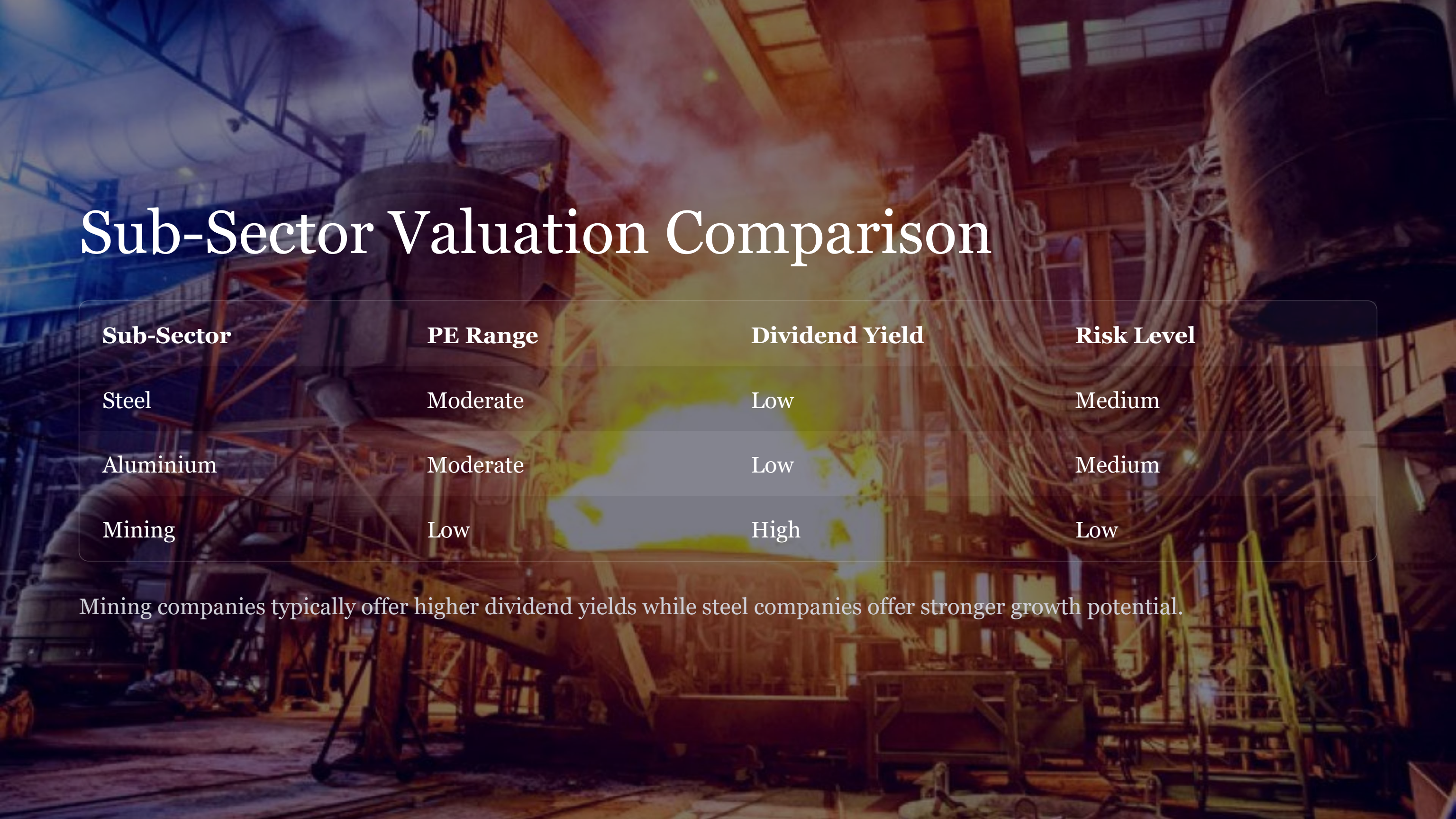
Revenue Growth

CAGR

Earnings Growth: Cyclical depending on commodity price cycles.

Key Insight

Metal sector valuations fluctuate based on global commodity prices and demand conditions.



Sub-Sector Valuation Comparison

Sub-Sector	PE Range	Dividend Yield	Risk Level
Steel	Moderate	Low	Medium
Aluminium	Moderate	Low	Medium
Mining	Low	High	Low

Mining companies typically offer higher dividend yields while steel companies offer stronger growth potential.

Fundamental Comparison – Key Companies

Company	PE	ROE	Dividend Yield	Notes
Tata Steel	12x	18%	2%	
JSW Steel	14x	20%	1.5%	
Hindalco	11x	17%	1%	
Vedanta	10x	22%	6%	
Coal India	8x	35%	~8%	Highest yield

Coal India offers the highest dividend yield among major metal companies.

Key Insights



Coal India

Coal India provides strong dividend income and stable cash flows.



Steel Companies

Steel companies benefit from rising infrastructure demand.



Aluminium Demand

Aluminium demand is expected to grow due to electric vehicle production and renewable energy development.

Key Risks & Challenges

Risk Factors

- Commodity price volatility
- Global economic slowdown
- Environmental regulations
- Trade tariffs and export restrictions
- Energy and raw material cost fluctuations

Sector Outlook

Despite strong demand potential, the sector remains cyclical and sensitive to global economic conditions.

Cyclicality

Earnings swing with commodity price cycles.

Global Sensitivity

Exposed to international trade and macro headwinds.

Investment Outlook

Infrastructure Expansion

Infrastructure expansion will increase metal consumption.

Commodity Cycles

Commodity cycles influence profitability across metal companies.

Mining Companies

Mining companies provide stable dividends and cash flows.

Steel Companies

Steel companies offer strong growth potential with rising infrastructure demand.

Investment Conclusion

Top Picks

Tata Steel

JSW Steel

Monitor

Hindalco

Dividend Play

Coal India

The Nifty Metal sector offers strong long-term potential driven by infrastructure growth, industrial expansion, and rising metal demand in India.

Nifty Metal Sector Performance

Index Overview

The Nifty Metal index tracks the performance of major metal and mining companies listed on the NSE.

Strong Growth in Upcycles

Over the past few years, the sector has shown strong growth during commodity upcycles driven by rising global metal prices and strong domestic demand.

Long-Term Demand Support

Infrastructure expansion and industrial development continue to support long-term metal consumption in India.

- ❏ **Key Insight:** The metal sector tends to outperform during commodity price rallies but remains sensitive to global economic cycles.



Major Companies in Nifty Metal Index

Tata Steel

One of India's largest steel producers with global operations and strong presence in infrastructure and automobile sectors.

JSW Steel

A leading private steel producer in India with large production capacity and continuous expansion projects.

Hindalco Industries

A major aluminium producer and part of the Aditya Birla Group serving multiple global industries.

Vedanta

A diversified mining and metals company producing aluminium, zinc, copper and iron ore.

Future Outlook of the Nifty Metal Sector

Growth Drivers Opportunities

- Increasing domestic steel consumption
- Government infrastructure spending
- Growing aluminium demand in clean energy sectors

Risks

- Commodity price volatility
- Global economic slowdown
- Environmental regulations

Conclusion

The Nifty Metal sector has strong long-term potential supported by infrastructure growth and industrial expansion in India.

→ Infrastructure development

→ Renewable energy projects

→ Urbanization and construction demand

→ Electric vehicle manufacturing